

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

OCEAN NETWORK EXPRESS PTE. LTD. AND OCEAN NETWORK
EXPRESS (NORTH AMERICA) INC. – POSSIBLE VIOLATIONS OF
46 U.S.C. § 41102(c)

DOCKET NO. 21-17

Served: February 23, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER DENYING MOTION TO DISMISS

On February 4, 2022, Respondents Ocean Network Express Pte. Ltd. (“ONE”) and Ocean Network Express (North America), Inc. (“ONE NA”) filed a motion (“Motion”) seeking to dismiss the Order of Investigation and Hearing (“OIH”) that initiated this proceeding. On February 14, 2022, the Bureau of Enforcement (“BOE”) filed its response to the dismissal motion (“Opposition”). On February 18, 2022, Respondents filed a reply (“Reply”).

ONE NA asserts that it should be dismissed because the Commission does not have personal or subject matter jurisdiction. Motion at 5-7. Both Respondents request dismissal for failure to state a claim, specifically for failure to allege the practice and reasonableness elements of a section 41102(c) claim. Motion at 8-16.

Although the Commission’s Rules do not explicitly provide for motions to dismiss, Commission Rule 12 states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. The “Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim.” *MAVL Capital v. Marine Transport Logistics*, Docket No. 16-16, 2020 FMC LEXIS 216 at *6 (FMC Oct. 29, 2020). Motions to dismiss a complaint for lack of jurisdiction may assert either a facial attack based on the pleadings or a factual attack based on matters outside the pleadings. *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 2011 FMC LEXIS 12, at *25 (FMC Aug. 1, 2011).

When “jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies.” *MAVL Capital*, 2020 FMC LEXIS 216 at *6 (citing *Kerns v. United States*, 585 F.3d 187, 192-93 (4th Cir. 2009)). “Under Fed. R. Civ. P. 12 (b)(6), the facts alleged are taken as true and all reasonable inferences are drawn in the complainant’s favor.” *MAVL Capital*, 2020 FMC LEXIS 216 at *6 (citing *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, Docket No. 12-02, 34 S.R.R. 35, 54, 2015 FMC LEXIS 43 at *36 (FMC Dec. 18, 2015)).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Docket No. 09-01, 32 S.R.R. 126, 136, 2011 FMC LEXIS 12 at *31-32 (FMC Aug. 1, 2011). “A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 679. The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 U.S. Dist. LEXIS 125179 at *5 (M.D. Tenn. 2014).

Jurisdiction

ONE NA argues that it is not a common carrier but rather an agent for a common carrier and therefore, there is no personal jurisdiction. Motion at 5-7. ONE NA asserts that the OIH fails to allege that it is an ocean common carrier and instead “simply conflates ONE NA with ONE, then alleges that ONE is an ocean common carrier.” Motion at 6. ONE NA further asserts that there is no subject matter jurisdiction over BOE’s claim because ONE NA is not a regulated entity. Motion at 7. In its reply, ONE NA argues that despite BOE’s attempt to amend the OIH by brief, BOE has not rebutted ONE NA’s evidence, under oath, “that it is not an ocean common carrier and neither holds out to the general public to transport cargo nor operates vessels.” Reply at 2.

BOE asserts that “ONE NA acted as a principal and carrier in its own name to enforce the terms of the bills of lading against Greatway and so is properly a named respondent in this matter,” and that to “the extent that uncertainty remains with regard to ONE NA’s status, then proceeding to discovery would be appropriate to resolve any such open question.” Opposition at 3-5.

The OIH alleges a violation of section 41102(c), which states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The elements required for a section 41102(c) claim are that (a) Respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property; (d) The practice or regulation is unjust or unreasonable; and (e) The practice or regulation is the proximate cause of the claimed loss. 46 C.F.R. § 545.4.

“It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission.” *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, Docket No. 00-02, 29 S.R.R. 394, 396, 2001 FMC LEXIS 7 at *9 (ALJ Sept. 20, 2001) (citing *The Government of the Territory of Guam v. Sea-Land Serv., Inc.*, 28 S.R.R. 252, 265 (FMC 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (ALJ 2000)). “Complainants bear the burden of demonstrating that the Commission has jurisdiction to adjudicate their claims.” *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 1 F.M.C.2d 403, 406, 2019 FMC LEXIS 44 at *10 (FMC July 16, 2019) (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 188, 201 (ALJ 1998), *aff’d* 28 S.R.R. 751 (FMC 1999)).

The OIH does not distinguish between ONE NA and ONE, asserting that collectively they are vessel-operating common carriers. OIH at 1, 3. Thus, on its face, the OIH alleges that both Respondents are common carriers subject to the Commission’s jurisdiction.

ONE NA points to the Commission’s list of VOCCs, where ONE is listed as an ocean common carrier, but ONE NA is not, and asserts that there is “no basis on which BOE can profess that it has ‘knowledge, information, and belief formed after reasonable inquiry,’ that ONE NA is an ocean common carrier” and ONE NA states, under oath, that it does not operate vessels or hold out to provide transportation. Motion at 6-7 (quoting 46 C.F.R. § 502.6(a)); Reply at 4. The evidence suggests that ONE NA is an agent for ONE and that ONE NA does not operate vessels and is not licensed by the Commission as a VOCC.

However, BOE argues that ONE NA should remain in the proceeding as it “acted as a principal and carrier in its own name to enforce the terms of the bill of lading against Greatway and so is properly a named respondent in this matter.” Opposition at 3. The OIH refers to a federal court case in Texas and BOE provides a copy of the federal complaint where ONE NA and ONE are both listed as plaintiffs. OIH at 4. This proceeding, thus, raises the issue of the extent of an agent’s liability, which is an issue that the Commission is currently considering in another proceeding. *TCW, Inc. v. Evergreen Shipping Agency (America) Corp. & Evergreen Line Joint Service Agreement*, Docket No. 1966(I), Order for Supplemental Briefing (FMC April 26, 2021) at 2.

Determination of jurisdiction requires an analysis of whether ONE NA is a regulated entity and whether it acted as a common carrier. These issues are also central to determining the merits of the claim. “[T]hough the trial court may rule on disputed jurisdictional facts at any time, if they are inextricably intertwined with the merits of the case it should usually defer its jurisdictional decision until the merits are heard.” *Herbert v. Nat’l Acad. of Sciences*, 974 F.2d 192, 198 (D.C. Cir. 1992). Accordingly, at this time, ONE NA will not be dismissed on the basis of personal or subject matter jurisdiction to give the parties an opportunity to conduct discovery, clarify the roles of each entity, and brief the merits of the proceeding.

Failure to State a Claim

Respondents ONE NA and ONE assert that the OIH fails to plausibly allege two of the elements required by 46 C.F.R. § 545.4: “the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis” and that “the practice or regulation is unjust or unreasonable.” Motion at 8. Specifically, Respondents assert that “only a single incident” is implicated and that “both the courts and the Commission have said there is nothing unreasonable about seeking to impose liability on the agent of a disclosed shipper, consignee, or carrier.” Motion at 9, 14.

BOE asserts that “Respondents’ practice is established by its definition of Merchant in their bill of lading and the application of that definition to Greatway” and that this “case raises the question of whether a practice which is disavowed under contract law can rise to being an unjust and unreasonable practice under Section 10(d)(1) of the Shipping Act.” Opposition at 8, 10.

For purposes of the motion to dismiss for failure to state a claim, allegations in the complaint, here the OIH, are presumed to be true. The OIH makes allegations referring to specific shipments and specific terms and conditions in the bill of lading which it asserts constitute unreasonable practices. OIH at 2-4. These allegations may be more fully explored during discovery. In addition, the impact of bill of lading terms on the pattern and practice element of section 41102(c) claims is currently pending before the Commission. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2021 FMC LEXIS 161 (ALJ Sept. 29, 2021). The parties’ legal arguments go to the merits of the proceeding and while not determinative at this stage, should help the parties focus their discovery and may provide insights into a potential resolution of the claim.

The OIH plausibly alleges that there was a practice and that the practice was unreasonable. ONE’s assertion that it has “never sought to collect freight and detention/demurrage from an entity that was not party to the bill of lading” can be explored during discovery. Reply at 8 n.11. At this point in the proceeding, the allegations plausibly allege a violation of section 41102(c). Accordingly, Respondents have not established a basis to dismiss the proceeding for lack of jurisdiction or for failure to state a claim.

Schedule

Respondents shall file their answer by March 1, 2022, and the parties should file a joint status report with a proposed schedule as required by the initial order by March 4, 2022. To expedite the discovery process, any discovery exchanged by the parties in any other cases may be utilized in this proceeding. The parties should also discuss whether there are facts to which they can stipulate, to limit the need for discovery. In addition, the parties need not wait for a formal schedule to exchange initial discovery requests. It is suggested that the parties complete discovery by April 22, 2022, so that briefing can be completed by May 31, 2022, and a timely decision can be issued.

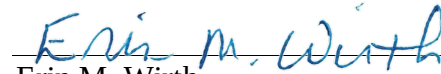
The parties are reminded that in addition to page numbers, attachments should include a table of contents. Initial Order at 3.

Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that the motion to dismiss be **DENIED**. Respondents should file their response to the complaint by March 1, 2022. It is

FURTHER ORDERED that the parties shall submit a joint status report with proposed schedule by March 4, 2022.


Erin M. Wirth
Chief Administrative Law Judge